

Global Data Privacy Regulatory Analysis

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Policy Analysis

Regulatory Analysis | Business Strategy | Information Systems

Introduction

It is nearly impossible to find a global business today that does not rely on technology. All international companies, whether they specialize in finance, fashion, or food, use technology in their global operations in some way. When these global businesses regularly collect user data, such as email addresses, biometric data, and credit card numbers, they must comply with data privacy laws to protect confidential information. Data privacy is the principle that a person should have control over their personal data, including the ability to decide how organizations collect, store, and use their data (Kosinski, 2025). As countries establish their own data privacy frameworks, multinational companies face the challenge of complying with multiple regulations that shape their operations worldwide. When a company's data privacy is breached, it can negatively impact its international business operations. To prevent data privacy breaches, companies must comply with national laws, such as the EU's GDPR and China's PIPL. These laws foster greater accountability in corporate data practices, encourage ethical and socially responsible business behavior, and promote international cooperation toward unified data protection standards, positively impacting multinational companies' global operations.

EU's General Data Protection Regulation (GDPR)

The General Data Protection Regulation, also known as the GDPR, was adopted on April 27, 2016, and applied on May 25, 2018, after a 2-year transition period, and, unlike a directive, it does not require any enabling legislation to be passed by the national Governments (Lindgren, 2018). The GDPR is data protection legislation that sets rules for processing, storing, and managing data from people currently in the European Union (Li, 2019). The primary objectives of the GDPR are to give citizens and residents control over their personal data and to simplify the regulatory environment for international business by unifying regulation across the EU (Lindgren, 2018).

In today's world, the GDPR not only applies to EU citizens but also to people outside Europe. For example, a U.S.-based web development company that mainly serves Colorado businesses but also tracks and analyzes visits from users in the EU may still fall under the GDPR (Wolford, 2019). Violating the GDPR could result in severe penalties of up to 4% of a business's worldwide turnover (Lindgren, 2018). As a result, businesses worldwide strive to comply with GDPR laws, as the EU is one of the largest online consumer markets. Access to EU user data is essential for global businesses whose operations depend on website analytics and customer insights to guide marketing and expansion strategies.

The GDPR lists several provisions and principles that are enforced. It requires organizations to prove they have a lawful reason for holding user data and show that they are keeping it safe. Article 6 of the GDPR lists six lawful grounds for data processing, including consent, performance of a contract, legal obligation, vital interests, public interest, and legitimate interests (Voigt, 2024). This requirement forces multinational corporations to carefully evaluate and document their data collection practices across all jurisdictions, ensuring that every time they collect, store, or process user data, it aligns with at least one of these lawful grounds (Voigt, 2024). For example, an individual filed a lawsuit against Vodafone, alleging that the company

was using the complainant's data to set up multiple new telephone lines. At the same time, Vodafone did not authenticate the complainant's identity, but allowed the third party to register new telephone lines in the complainant's name (AEPD, 2021). This case violates the first lawful ground of Article 6 of the GDPR because the complainant's personal data was incorporated into Vodafone's information systems without the complainant having entered into a legitimate contract (AEPD, 2021). The company did not comply with any of the lawful grounds under Article 6, resulting in Vodafone receiving a €56,000 fine (AEPD, 2021). This situation demonstrates how the GDPR obliges multinational companies to strengthen their verification and compliance systems across borders, ensuring lawful data practices that ultimately foster greater accountability and trust in global operations.

Beyond the requirement for lawful data processing, the GDPR requires an organization to implement appropriate technical and organizational measures to ensure that processing is performed in accordance with Article 24 (Voigt, 2024). Article 24 establishes the controller's responsibility and liability for any processing of personal data carried out by itself or on its behalf (Voigt, 2024). This means that companies must adopt a risk-based Data Protection Management System that monitors the fulfilment of data-protection-related and safety-related requirements within the company (Voigt, 2024). With these DPM systems, corporations can implement appropriate technical and organisational measures in compliance with data protection under the GDPR (Voigt, 2024). For example, Pros Inc., an AI technology company with global operations, adopted a compliance software called "Onspring" to effectively manage internal audit and third-party (security) audit management, security council and security policies, cyber incident response management, corporate and security risk assessments, and vendor risk management (Randall, 2025). This software acts as a DPMS, monitoring and processing user data while complying with GDPR, resulting in a 50% reduction in audit time. This case demonstrates how GDPR-driven DPM systems can enhance both compliance and operational efficiency, emphasizing that such regulations ultimately strengthen multinational companies' global operations.

Many companies follow GDPR simply because it is the law. On the other hand, many companies comply with GDPR because they value privacy and want to respect users, which is an ethical decision. In connection with our International Business course, treating data protection and privacy as part of the company's broader responsibility to customers is an example of corporate social responsibility. According to Hill in Chapter 5 of our International Business textbook, "Corporate social responsibility (CSR) refers to the idea that businesspeople should consider the social consequences of economic actions when making business decisions and that there should be a presumption in favor of decisions that have both good economic and social consequences" (Hill, 151). Essentially, CSR can be supported for its own sake simply because it is the right way for a business to behave (Hill, 151). When multinational companies embed data privacy compliance into their core operations, they are not only complying with regulations but also practicing social responsibility by protecting individuals' personal information and maintaining public trust. This alignment of ethical responsibility with legal compliance

demonstrates how the GDPR promotes CSR on a global scale, underscoring that data privacy laws have a positive impact on multinational companies' operations.

China's Personal Information Protection Law (PIPL)

The Personal Information Protection Law, or the PIPL, was enacted on August 20th, 2021, by the Standing Committee of China's National People's Congress and took effect on November 1st, 2021 (Greenleaf, 2021). Over the last several years, a debate has emerged worldwide about citizens' data privacy issues, especially when more and more online events like remote working and online classes have become more widespread during COVID-19 (Calzada, 2022). A range of social issues arising from technological development prompted the Chinese government to establish and implement the PIPL (Calzada, 2022).

The PIPL focuses on personal information protection and social problems that concern citizens by regulating data privacy based on individual and data-handler perspectives (Calzada, 2022). Moreover, the Chinese government imposes constraints on data transmission and algorithmic requirements that risk the leakage of personal information (Calzada, 2022). The PIPL applies to any organisation or individual that collects and processes personal data within the Mainland of China (Hawksford, 2025). Similar to the GDPR, it also extends to organisations or individuals outside of the Mainland of China if they provide products or services to individuals in China, analyse or assess the activities of individuals in China, or engage in other activities governed by Chinese laws or regulations (Hawksford, 2025). At present, multinational corporations have an obligation to comply with the PIPL by proactively reviewing and updating their data processing activities, policies, and procedures to ensure full compliance (Hawksford, 2025).

The PIPL lists 74 general provisions that apply mandatorily to the processing of personal information of natural persons within the People's Republic of China (Hawksford, 2025). One article in particular is Article 5, which states, "Personal information shall be processed in accordance with the principles of legality, legitimacy, necessity, and good faith, and shall not be processed by misleading, fraud, coercion, or other means" (PIPL, 2021). This provision suggests that organizations must process private data in accordance with the law and in good faith, and that there will be consequences for misusing it illegally. For example, the China National Knowledge Infrastructure (CNKI), the country's largest online academic database, had 14 of its apps illegally collect personal data (Yin, 2023). Some applications did not obtain users' permission before collecting data or did not disclose their data-collection rules. Others failed to provide users with an account-cancellation option or to delete personal information after users canceled their accounts (Yin, 2023). This case aligns with "misleading means" under Article 5, in which the corporation was not transparent about its use of user data and violated the law by failing to obtain users' consent before processing their data. This case demonstrates how China's PIPL enforces companies to adjust their operations to meet transparency and consent requirements. The CNKI violation highlights how differing national privacy rules drive multinational companies to strengthen compliance and ethical data practices across their global operations.

Building on this example, Article 12 is another essential provision of the PIPL that multinational companies must comply with. Article 12 states, “The State actively participates in the formulation of international rules for personal information protection, promotes the international exchange and cooperation in personal information protection, and drives the mutual recognition of the rules and standards for personal information protection with other countries, regions, and international organisations” (PIPL, 2021). Since millions of users worldwide use websites and apps produced in China, this provision underscores China’s commitment to engaging globally on data protection by participating in the development of international standards, encouraging cooperation and information exchange, and pursuing mutual recognition of privacy rules with global organizations to ensure a safe, protected cyberspace. For example, the Ministry of Industry and IT of the PRC and the Federal Ministry of Transport and Digital Infrastructure of the Federal Republic of Germany signed a joint declaration of intent agreeing to work together on self-driving (Federal Ministry of Economic Affairs and Energy et al., 2018). The memorandum states that the purpose of the agreement is “to foster mutual understanding and exchange of information regarding the development of automated and connected driving in China and Germany” (Federal Ministry of Economic Affairs and Energy et al., 2018). Volkswagen, a German multinational company, participated in discussions between the two countries to provide its own input and understand how the agreement affects its data policy. Since modern cars like Volkswagen collect large amounts of personal and vehicle data, such as GPS location, driving behavior, and phone contacts, the Joint Declaration ensures that Germany and China will cooperate on rules for sharing, storing, and securing this vehicle data. Therefore, when multinational companies contribute to the “development and application of non-discriminatory multilateral international standards and requirements for data access and storage, data transfer, and cybersecurity,” (Federal Ministry of Economic Affairs and Energy et al., 2018), they are complying with Article 12 of the PIPL, creating a shared framework for securely handling personal and vehicle data across borders. This collaboration demonstrates how national data privacy laws, such as the PIPL, influence multinational companies to actively engage in international data policy development, aligning their operations with evolving global standards.

Chapter 2 of our International Business textbook discusses the three main types of legal systems in use around the world: common law, civil law, and theocratic law (Hill, 51). China follows a civil law system based on a detailed set of laws organized into codes (Hill, 51). China’s PIPL reflects a civil law tradition combined with strong state control, in which the government plays a central role in defining and enforcing compliance requirements. As Hill emphasizes, understanding these variations is critical for multinational firms entering foreign markets because legal uncertainty has a “profound impact on the benefits, costs, and risks associated with doing business in different countries” (Hill, 42). The PIPL demonstrates this principle by imposing regulations on multinational corporations operating in China, including data localization requirements and government oversight. This illustrates how China’s PIPL shapes multinational

companies' global operations by requiring them to adapt their data management systems and business strategies to comply with Chinese civil law.

Author's Input

Although I do not live in either the EU or China, I still experience the effects of how data privacy laws from both regions influence the global corporations I interact with daily. On April 24, 2024, the U.S. passed the Protecting Americans from Foreign Adversary Controlled Applications Act (PAFACAA), which targets foreign adversary-controlled applications (FACAs), such as ByteDance Ltd. (TikTok's Chinese parent company), and requires them to divest their U.S. operations (Mazzotti, 2024). This led to what was known as the 'TikTok ban,' which was enforced in January 2025 after ByteDance refused to sell the app (Lyons-Cunha, 2025). TikTok uses a sophisticated algorithm that collects users' personal data to reconstruct their preferences and then suggests highly individualised content (Mazzotti, 2024). Additionally, the fact that a Chinese company owns the app raises fears that TikTok's collection of personal data may enable China to engage in blackmail, espionage, or other destabilising activities after compelling ByteDance to disclose that data (Mazzotti, 2024). As someone who uses TikTok daily, this situation has made me realize how much international policies can directly affect my online life. By using these apps, I wonder whether my personal information is safe, who controls it, and how government policies could decide which apps I can use. I understand why governments aim to protect citizens' data, but I also think these regulations reveal the challenge of balancing privacy, security, and global connection. In my opinion, stronger international cooperation on privacy standards, similar to the EU's GDPR, could help reduce tensions between countries and make it easier for global users like me to use digital platforms safely and freely.

Furthermore, I believe the contrasting approaches of the GDPR and PIPL show how different governments interpret the idea of digital safety. The GDPR focuses on empowering individuals by giving users control over their personal data, while the PIPL emphasizes state oversight and national security. From my perspective, both laws were created with good intentions, but they highlight how fragmented global data governance has become. TikTok's violations of the GDPR, when European regulators fined the company for transferring user data to China without proper safeguards, show that even popular global platforms can struggle to comply with these strict rules. Meanwhile, as a Chinese company, ByteDance must also abide by the PIPL, which may require it to share data with Chinese authorities. To me, this conflict explains why TikTok's situation is so complicated. I think global companies need a unified standard that protects privacy like the GDPR, but avoids the political interference seen under the PIPL.

Conclusion

To prevent data privacy breaches, companies must comply with national laws, such as the EU's GDPR and China's PIPL. These laws not only protect individuals' personal data but also push global firms to strengthen their compliance systems, act ethically, and be transparent about how they handle information. Although the GDPR focuses on personal freedom and the PIPL

focuses on national security, both laws encourage accountability and higher standards in global data management. The GDPR and PIPL demonstrate that strong data privacy laws can positively influence multinational companies by making them more secure, ethical, and globally connected.

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